

Lab 3.2: Conduct a Pipeline Health Check

Introduction

This hands-on lab gives you practice inspecting a pipeline for the warning signs that deals are weaker than they look. You will review a provided pipeline of PayPro prospects, identify at least three red flags, and propose a specific mitigation action for each. The goal is to practice looking past the totals and testing whether each deal is as strong as its label suggests.

Learning Objectives

After completing this lab, you will be able to:

- Identify red flags in a realistic sales pipeline.
- Explain why each red flag threatens the forecast.
- Propose a concrete mitigation action for each red flag.



Scenario

You are an Account Executive at PayPro Solutions, reviewing your pipeline of prospects at various stages of evaluating a new payroll vendor. Your manager has asked you to do an honest health check before the quarterly forecast.

Here is your current pipeline:

Prospect	Stage	Probability	Time in stage	Notes
Atlas Logistics Corp	Proposal sent	80%	4 months	Great early demo. Main contact is enthusiastic. Have not spoken to their CFO.
Pinnacle Tech Solutions	Negotiation	90%	3 weeks	Champion loves it. She mentioned 'just need sign-off from the team' but no meeting set.
Meridian Law Partners	Discovery	50%	6 weeks	One good call six weeks ago. Several follow-up emails unanswered.
Summit Retail Group	Proposal sent	70%	2 weeks	Met office manager, finance director, and IT. All engaged. Clear timeline.
Coastal Manufacturing	Negotiation	60%	5 months	Was 'almost done' in Q1. Still almost done. Contact slow to respond.

Your task is to identify at least three red flags in this pipeline and propose a mitigation action for each.

Tools Overview

Pipeline Red Flags:

The three warning signs from this lesson: deal aging, excessive optimism, and lack of stakeholder engagement. Test each deal by asking how long it has been at its stage, whether its probability is based on facts or feeling, and whether you have met the people who actually decide.

Resource Files

Lab 3.2 Exemplar Solution (DOCX)

Instructions

Exercise 1: Identify At Least Three Red Flags

Objective: Inspect the pipeline and flag the deals that are weaker than they look.

Step 1: Test each deal

Go through each prospect and ask the three diagnostic questions: How long has it been at this stage? Is probability based on facts or feelings? Have you met the people who actually approved the deal?

Step 2: Name the red flags

Identify at least three specific red flags. For each, name the prospect, the type of red flag (deal aging, excessive optimism, or lack of stakeholder engagement), and why it threatens the forecast.

Exercise 2: Propose a Mitigation for Each

Objective: Turn each red flag into an action.

Step 1: Write a mitigation

For each red flag you identified, propose one concrete action: who you would contact, what you would ask, or how you would re-stage or re-score the deal.

Step 2: Adjust the forecast

Note how the pipeline should change once you account for these red flags, which probabilities or stages would you honestly revise?

Lab Output/Expected Outcome

By the end of this lab, you should have:

- At least three identified red flags, each naming the prospect, the type, and the risk.

- A specific mitigation action for each red flag.

A note on how the forecast should change once the red flags are accounted for.

Note: You have run an honest pipeline health check, the discipline that separates a forecast leadership can trust from a number built on hope. Notice that the healthiest-looking deals on paper were not always the strongest in reality. Compare your work to the Lab 3.2 Exemplar Solution.

Summary

A pipeline health check tests whether deals are as strong as their labels. Totals alone hide weakness, so each deal is inspected individually. Three diagnostic questions probe aging, optimism, and stakeholder engagement. Deal aging shows a prospect stuck too long at one stage. Excessive optimism shows a probability based on feeling, not facts. Missing decision-makers signal a deal without real stakeholder access. Each red flag names the prospect, the type, and the forecast risk. A concrete mitigation turns every red flag into a specific action. Honest revisions to stages and probabilities follow the health check.
